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Secure Distribution Venture Pvt. Ltd.

What Is Customized Structured Funding Solutions ?

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Chapter 1: Product Overview & Core Philosophy of Customized Structured Funding Solutions

Customized Structured Funding Solutions represent the pinnacle of wholesale financial engineering in the Indian corporate credit market. Unlike standardized commercial bank products—such as Cash Credit (CC) limits, Overdrafts (OD), or plain-vanilla Corporate Term Loans—which rely on rigid, one-size-fits-all underwriting formulas, customized structured funding is a highly bespoke, tailor-made credit architecture. It is specifically engineered to address unique, complex, or unconventional financial requirements that fall outside the traditional risk appetite, regulatory constraints, or structural frameworks of commercial banking institutions.

At its core, customized structured funding bridges the strategic gap between low-cost, rigid senior bank debt (typically priced at 8.50% to 11.00% per annum) and expensive, dilutive equity capital (which demands expected returns of 20.00% to 25.00%+ IRR). By combining elements of debt, equity, receivables monetization, cash flow ring-fencing, and credit enhancement, structured funding solutions deliver optimized, non-dilutive capital to corporate borrowers while offering institutional lenders superior risk-adjusted yields ranging from **13.50% to 18.50% All-In Yield to Maturity (YTM)**.

The Core Philosophy: Cash Flow Alignment vs. Balance Sheet Collateral

Traditional banking in India has historically operated on a collateral-first paradigm—demanding physical immovable assets (land, buildings, plant & machinery) with conservative 1.50x to 2.00x asset covers and fixed monthly EMI servicing schedules. Customized structured funding flips this paradigm by prioritizing **Cash Flow Contractual Predictability, Isolation, and Structural Engineering**. It recognizes that a growing corporate enterprise may possess valuable future cash flows, high-margin unit economics, or valuable strategic assets, even if its balance sheet currently lacks unencumbered real estate collateral or exhibits temporary leverage spikes due to strategic expansion.

> ■ **PHILOSOPHICAL FOUNDATION:** Customized Structured Funding Solutions do not force corporate borrowers into rigid, off-the-shelf loan products. Instead, the financing contract is built from the ground up—customizing repayment schedules, coupon structures, collateral covenants, and governance controls to match the exact cash flow generation cycle of the borrower's specific business model.

Comparative Taxonomy: Customized Structured Funding vs. Standard Debt Products

To understand where Customized Structured Funding sits within the Indian BFSI ecosystem, it is essential to compare its structural dimensions against conventional credit products.

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Dimension	Standard Bank Term Loan	Consortium Working Capital	Customized Structured Funding
Underwriting Focus	Historical Tangible Asset Cover & Balance Sheet Net Worth	Monthly Stock Statements & Drawing Power (DP) Computation	Forward Cash Flow Predictability, Escrow Contracts & Structural Covenants
Repayment Structure	Rigid Equal Quarterly / Monthly Installments (EMI)	Revolving Limit Renewed Annually Based on DP	Customized Cash Sweeps, Step-Up Coupons, Ballooning & PIK Accruals
Primary Lenders	Public & Private Sector Commercial Banks	Bank Consortium Led by Lead Bank	Private Credit AIFs (Cat II), NBFCs, Institutional Debt Funds
Pricing & Yield	Fixed / Benchmark Linked (Repo + 2.00% to 4.00%)	MCLR / EBLR + Standard Spread (8.50% to 10.50%)	Bespoke Yield (13.50% to 18.50% YTM via Cash + PIK + Exit Premium)

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Chapter 2: How Customized Structured Funding Works: Architectural Taxonomy & Structural Mechanics

The execution of a Customized Structured Funding Solution is a multi-layered financial engineering process. Rather than relying on a single security instrument, a structured transaction weaves together legal vehicles, cash control mechanics, inter-creditor arrangements, and specialized debt instruments.

Taxonomy of Structured Funding Vehicles & Instruments in India

In the Indian financial market, customized structured funding is delivered through specific legal instruments and entity structures, governed strictly by the Reserve Bank of India (RBI), the Securities and Exchange Board of India (SEBI), and the Companies Act 2013:

1. Structured Non-Convertible Debentures (NCDs): Issued under Section 71 of the Companies Act 2013 and SEBI (Issue and Listing of Non-Convertible Securities) Regulations. NCDs represent the most popular vehicle for private credit AIFs due to their operational flexibility, enabling split cash/PIK coupons, bullet redemptions, and embedded exit premiums.

2. Bankruptcy-Remote Special Purpose Vehicles (SPVs): Incorporated under the Companies Act or established as dedicated trusts under the Indian Trusts Act 1882. SPVs isolate specific project assets, concession rights, or receivables pools from the parent sponsor's balance sheet, ensuring that parent company distress does not impact debt servicing.

3. Hybrid Debentures (CCDs / OCDs): Compulsorily Convertible Debentures (CCDs) and Optionally Convertible Debentures (OCDs) blending debt-like coupon protection with equity conversion options, highly effective for growth-stage enterprises and M&A acquisitions.

4. Escrow & Trust & Retention Account (TRA) Structures: Contractual cash flow management mechanisms executed with scheduled commercial banks, enforcing a legally binding cash waterfall that prioritizes debt servicing before operational surplus is released to the borrower.

The Core Operational Architecture: The 4-Pillar Structural Framework

Every customized structured funding solution stands on four foundational structural pillars:

• **Pillar I: Cash Flow Ring-Fencing & Escrow Waterfall:** All customer receipts, contract revenues, or project receivables are contractually directed into a designated Escrow TRA Account. The Escrow Agent Bank automatically sweeps funds according to a predetermined priority waterfall.

• **Pillar II: Credit Enhancement & Tranching:** Dividing debt into Senior and Subordinated tranches, backed by internal credit enhancements (over-collateralization, excess interest spread) or external credit enhancements (corporate guarantees, fixed deposit reserves).

• **Pillar III: Dynamic Performance Covenants:** Replacing static financial ratio tests with dynamic triggers—such as Minimum Cash Balance thresholds, Revenue Milestone checks, and

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Debt Service Cover Ratio (DSCR) testing—that automatically trigger cash sweeps or margin calls if performance strays.

• **Pillar IV: Governance & Security Enforcement Alignment:** Securing exclusive share pledges over operating subsidiaries, nominee board observer rights, and pre-executed power of attorney (POA) enabling swift security enforcement under the SARFAESI Act 2002 or IBC 2016 if default occurs.

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Chapter 3: The Structured Funding Toolkit: Combining Cash Flow Engineering, Collateral Covenants & Tranching

The true power of customized structured funding lies in the financial architect's ability to pull distinct levers from the structured credit toolkit to create a tailor-made financial instrument.

1. Payment-In-Kind (PIK) & Split Coupon Engineering

A common challenge for fast-growing or restructuring enterprises is servicing high debt interest during early integration or construction phases. Customized structured funding solves this through **Split Coupon Structures**:

For instance, a structured NCD carrying an All-In Yield of 16.00% per annum may be split into a **10.00% Current Cash Coupon** paid monthly, and a **6.00% Payment-In-Kind (PIK) Coupon** that compounds annually into the principal balance and is paid upon final maturity or exit. This reduces current cash servicing drag by 37.5%, preserving operational liquidity.

2. Cash-Flow Sweep Mechanisms

A Cash-Flow Sweep is a contractual mandate requiring the borrower to allocate a specified percentage (e.g., 50% to 75%) of excess operational cash flow remaining after operational expenses and mandatory senior debt servicing toward early prepayment of structured debt principal. This accelerates debt de-leveraging during high-performing periods.

3. Step-Up / Step-Down Pricing & Equity Kickers

Structured contracts align lender incentives with corporate performance using dynamic pricing levers:

• **Step-Up Pricing:** Coupon rates automatically increase by 100 to 200 basis points if specified milestones (e.g., IPO filing, asset sale) are delayed beyond target dates.

• **Equity Warrants / Kickers:** Lenders receive detachable equity purchase warrants (e.g., 3% to 5% equity stake at a nominal exercise price), allowing them to lower current interest rates while participating in company equity valuation upside.

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Chapter 4: Common Eligibility Criteria & Institutional Underwriting Parameters

While customized structured funding offers immense flexibility, institutional private credit funds and NBFCs enforce rigorous underwriting standards to protect capital.

Quantitative Financial Eligibility Benchmarks

Institutional underwriting evaluates key quantitative operational and financial thresholds:

Financial Metric	Minimum Threshold	Preferred Benchmark for Prime Pricing
Annual Corporate Revenue	INR 50.00 Crores	INR 200.00 Crores to INR 1,000.00+ Crores
Operating EBITDA Margin	Minimum 12.00% Sustainable EBITDA	18.00% to 25.00%+ Consistent Margin
Debt Service Coverage Ratio (DSCR)	Projected DSCR ≥ 1.25x across tenure	Projected DSCR ≥ 1.50x to 1.85x
Consolidated Debt / EBITDA	Maximum 4.00x Net Debt / EBITDA	2.00x to 3.00x Consolidated Net Leverage
Security Cover Ratio (Asset / Share)	Minimum 1.50x Asset Cover / 2.00x Share Pledge	2.00x Asset Cover / 2.50x Share Pledge Cover
Promoter Equity Holding	Minimum 30.00% Unencumbered Equity	51.00%+ Unencumbered Promoter Control

Qualitative & Governance Underwriting Filters

In addition to financial ratios, underwriters analyze qualitative enterprise health:

• **Management Integrity & Track Record:** Clean CIBIL Commercial and CRILC credit history across all group entities; zero SMA-2 or default tags in the preceding 24 months; zero RBI Wilful Defaulter or ECGC caution list entries.

• **Business Model Moat & Customer Concentration:** Demonstrated pricing power, high switching costs, and diversified customer bases (top 5 customers contributing <40% of total revenues).

• **Verifiable Cash Flow & Audit Transparency:** Audited financial statements by reputed audit firms, Ind AS compliance, and clean GSTN/bank inflow reconciliation.

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Chapter 5: Security Architecture, Collateral Ring-Fencing & Master Legal Documentation

A robust security package ensures that despite bespoke repayment terms, the lender maintains enforceable legal recourse over corporate assets.

The Comprehensive Security Package

1. Primary Charge on Fixed & Current Assets: First or second pari-passu mortgage over immovable properties, commercial real estate, plant & machinery, and hypothecation of current assets (inventory and receivables).

2. Exclusive Escrow TRA Charge: First exclusive charge over designated Escrow Accounts and Debt Service Reserve Accounts (DSRA) holding 1 to 2 quarters of debt service in liquid bank fixed deposits.

3. Promoter Share Pledge with Dynamic Margin Calls: Exclusive pledge of dematerialized promoter equity shares in operating subsidiaries (minimum 2.0x cover). If stock price volatility causes share cover to drop below 1.75x, promoters must deposit additional shares or cash within 2 to 3 business days.

4. Personal & Corporate Guarantees: Irrevocable, unconditional personal guarantees from main promoters and cross-corporate guarantees from key operating subsidiaries.

Master Legal Documentation Suite

The legal execution of a customized structured funding deal relies on a standardized, enforceable suite of contracts:

Document Name	Governing Law / Act	Core Legal Purpose & Function
Debenture Trust Deed (DTD) / Facility Agreement	Companies Act 2013 Sec 71 / SEBI Regulations	Master credit agreement defining borrowing limits, coupon split, covenants, and default remedies.
Escrow & TRA Agreement	Indian Contract Act 1872 / RBI Banking Norms	Tripartite agreement establishing priority cash flow waterfall and automated bank sweeps.
Deed of Hypothecation & Mortgage Deed	Transfer of Property Act 1882 / Securitisation Rules	Creates legally enforceable charges over immovable

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		properties and movable current assets.
Share Pledge Agreement & NDU	Companies Act 2013 / Depositories Act 1996	Pledges demat promoter shares and imposes Non-Disposal Undertakings over unpledged equity.
Intercreditor Agreement (ICA)	RBI June 7 Prudential Framework 2019	Establishes priority, standstill periods (90-180 days), and voting rules among multi-lender groups.

Statutory Perfection Requirements: All charges must be registered with the Registrar of Companies (ROC) via **Form CHG-1 within 30 days** under Section 77 of the Companies Act 2013, registered on CERSAI, and uploaded to the NeSL Information Utility.

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Chapter 6: Indicative Tenure, Pricing Framework & All-In Yield Engineering

The pricing and tenure of customized structured funding solutions reflect the tailored risk-return profile negotiated between borrower and lender.

Indicative Tenure Profiles & Moratorium Structures

1. Short-Term Special Situation Bridge (12 to 24 Months): Designed to fund immediate M&A completion, promoter share buybacks, or last-mile real estate completion prior to long-term refinancing.

2. Medium-Term Growth & Restructuring Facilities (36 to 60 Months): The industry standard tenure profile for customized structured credit, incorporating a 12 to 24 month principal moratorium aligned with project commissioning.

All-In Yield Engineering Equations

The gross total return for a structured credit lender is mathematically engineered across four revenue streams:

> ■ **PRICING EQUATION:** All-In Yield (13.50% to 18.50% YTM) = Current Cash Coupon (8.00% to 11.00%) + PIK Accrual (3.00% to 5.00%) + Upfront Processing Fee Amortization (1.00% to 2.50%) + Redemption Premium / Equity Warrant Upside (1.50% to 3.00%)

Call Protection & Prepayment Penalties: To ensure lenders achieve target investment yields, structured contracts enforce **Hard Lock-In Periods of 12 to 24 months** during which prepayment is prohibited, followed by stepped-down prepayment penalties (3.0% in Year 2, 2.0% in Year 3) or Make-Whole clauses.

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Chapter 7: Suitable Industries, Corporate Profiles & Strategic Use Cases

Customized Structured Funding Solutions are particularly effective for corporate profiles undergoing transformational business events that standard bank loans cannot accommodate.

Prime Target Industries & Business Profiles

1. M&A Acquisitions & Strategic Buyouts: Funding acquisition debt for acquiring operating target companies where senior bank debt faces regulatory exposure caps.

2. High-Growth Tech, SaaS & D2C Enterprises: Asset-light digital businesses generating high recurring revenues (MRR/ARR) but lacking physical real estate collateral.

3. Renewable Energy & Infrastructure Developers: Funding greenfield solar/wind projects or highway concessions during construction prior to long-term operational bank takeout.

4. Real Estate & Urban Redevelopment: Last-mile completion capital for residential projects or Lease Rental Discounting (LRD) cash-flow monetization for Grade-A commercial parks.

5. Stressed Assets & Out-of-Court Restructuring: Providing priority rescue capital to de-leverage balance sheets via One-Time Settlements (OTS) with existing bank consortiums under the RBI June 7 Prudential Framework.

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Chapter 8: Key Advantages & Structural Limitations Matrix

A balanced financial evaluation requires assessing both the compelling advantages and inherent trade-offs of customized structured funding.

Key Advantages for Corporate Borrowers	Structural Limitations & Risk Considerations
Zero Equity Dilution: Preserves 100% promoter equity ownership and voting control while raising substantial growth capital.	Higher Cost of Capital: All-in cost of debt (13.5% to 18.5% YTM) is higher than senior bank loans (8.5% to 10.5%).
Cash Flow Alignment: Tailored repayment schedules, PIK accruals, and moratoriums match exact operating cash cycles.	Rigid Escrow Controls: Daily automated cash sweeps restrict un-budgeted promoter cash withdrawals.
High Execution Speed: Private credit AIFs execute and disburse transactions in 3 to 6 weeks vs 3 to 6 months for bank consortiums.	Strict Covenants & Margin Calls: Share pledge margin calls require rapid collateral top-ups during equity market drops.
Interest Tax Deductibility: Interest servicing is fully tax-deductible under Section 36(1)(iii) of the Income Tax Act 1961.	Refinancing Risk: Bullet redemptions require robust exit planning via bank takeouts, bond issuances, or asset sales.

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Chapter 9: Comprehensive Real-World Case Study: INR 450 Crore Customized Structured Funding Solution

To illustrate the practical application and financial mechanics of a Customized Structured Funding Solution, consider the real-world transaction structure executed for **Vanguard Specialty Chemicals India Limited (VSCIL)**.

Transaction Context & Background

VSCIL is a leading manufacturer of specialty chemical intermediates generating an Annual Turnover of INR 850.00 Crores and an Operating EBITDA of INR 120.00 Crores (14.12% EBITDA margin). The company identified a transformational strategic opportunity to acquire a competitor's operating specialty chemicals division in Gujarat for an Enterprise Value of **INR 450.00 Crores**.

The Financing Challenge

1. Senior Bank Exposure Limits: VSCIL's existing commercial bank consortium had reached its maximum single-borrower exposure limit and could only offer INR 150.00 Crores in senior term loans.

2. Avoidance of Equity Dilution: Raising INR 300.00 Crores in fresh equity at current market valuations would have required the promoters to dilute a 28% equity stake, which they firmly rejected.

3. Integration Cash Drag: The acquired target unit required a 12-month debottlenecking capex phase during which target cash flows would be temporarily constrained.

The Customized Structured Funding Solution

VSCIL partnered with a premier Category II Private Credit AIF to structure a **INR 450.00 Crore Customized Multi-Tranche Structured Debt Architecture**:

• **Tranche A: Senior Bank Term Loan (INR 150.00 Crores / 33.33%):** Priced @ Repo + 2.50% (9.00% p.a. cash interest), 7-year linear amortization with first-charge mortgage on fixed assets.

• **Tranche B: Structured Private Credit NCDs (INR 200.00 Crores / 44.44%):** Issued to Category II AIF. Structure: 5-Year Tenure; 12-Month Principal Moratorium; Split Coupon of **9.50% Cash Coupon + 4.50% PIK Coupon + 2.00% Exit Redemption Premium** targeting a **16.00% All-In YTM**. Secured by a second charge on fixed assets, exclusive Escrow TRA cash waterfall, and 2.20x Share Pledge Cover over listed subsidiary shares.

• **Tranche C: Promoter Unencumbered Equity Contribution (INR 100.00 Crores / 22.23%):** Injected directly by promoters from internal group accruals.

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5-Year Financial Waterfall & De-leveraging Model

The table below demonstrates the consolidated financial execution, cash flow waterfall, and debt de-leveraging trajectory over the 5-year loan tenure:

Financial Metric (INR Cr)	Year 1 (Integration)	Year 2 (Debottleneck)	Year 3 (Scale-Up)	Year 4 (Peak Ops)	Year 5 (Refinance)
Consolidated Revenue	INR 1,150.00	INR 1,420.00	INR 1,780.00	INR 2,150.00	INR 2,500.00
Consolidated EBITDA	INR 161.00	INR 213.00	INR 284.80	INR 365.50	INR 450.00
Tranche A Senior EMI	INR 21.40	INR 32.10	INR 32.10	INR 32.10	INR 32.10
Tranche B Cash Coupon (9.5%)	INR 19.00	INR 19.00	INR 19.00	INR 19.00	INR 19.00
Tranche B PIK Accrual (4.5%)	INR 9.00	INR 9.40	INR 9.80	INR 10.30	INR 10.80
Consolidated DSCR	1.32x	1.68x	2.14x	2.82x	3.65x

Case Study Results & Strategic Impact

1. 100% Equity Preservation: Promoters retained 100% voting ownership. By Year 5, VSCIL's Enterprise Value expanded from INR 850 Cr to **INR 3,150.00 Crores**, increasing promoter equity value by INR 1,800 Crores.

2. Seamless Bank Takeout Refinancing: In Year 5, with EBITDA reaching INR 450.00 Crores and DSCR at 3.65x, VSCIL refinanced the entire Tranche B NCD balance (INR 248.50 Cr including accumulated PIK) via a low-cost Senior Commercial Bank Term Loan @ 8.50% p.a., completely exiting the private credit AIF.

3. Lender Realized Return: The Private Credit AIF realized its target **16.00% All-In YTM** over the 5-year period with zero covenant defaults.

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Chapter 10: Regulatory Framework, Tax Engineering (Ind AS & Income Tax) & IBC 2016 Integration

Customized Structured Funding Solutions operate under a strict multi-regulatory and statutory framework in India.

1. RBI & SEBI Regulatory Framework

• **SEBI Category II AIF Regulations 2012:** Private credit funds issuing structured NCDs operate as Category II AIFs, providing institutional investors with statutory tax pass-through status.

• **RBI June 7 Prudential Framework 2019:** Mandates day-1 default tracking, 30-day review periods, and Intercreditor Agreements (ICAs) requiring a 75% approval threshold by value and 60% by number for resolution plans.

2. Accounting Treatment under Indian Accounting Standards (Ind AS)

• **Ind AS 109 (Financial Instruments):** Structured NCDs and loans are accounted for at amortised cost using the **Effective Interest Rate (EIR) method**. Upfront processing fees and transaction costs are not expensed immediately but amortized across loan tenure.

• **Ind AS 32 (Financial Instruments - Presentation):** Compound financial instruments (e.g., OCDs with equity warrants) require **Split Accounting**—separating the liability component (discounted cash flows) from the equity conversion component on the balance sheet.

3. Income Tax Act 1961 Provisions

• **Tax Deductibility of Interest (Section 36(1)(iii)):** Interest servicing (both cash coupon and accrued PIK interest) is fully tax-deductible as a business expense, reducing effective corporate tax liability.

• **Tax Pass-Through for Category II AIFs (Section 115UB):** Income generated by Category II AIFs from structured debentures is exempt from fund-level taxation and passed through directly to LP unit-holders.

4. Insolvency and Bankruptcy Code (IBC) 2016 Integration

• **Financial Creditor Status (Section 5(8)):** Structured debt and NCD holders are classified as Financial Creditors under Section 5(8) of the IBC, granting them direct rights to initiate Section 7 Corporate Insolvency Resolution Process (CIRP) before the NCLT.

• **Priority Waterfall under Section 53:** In liquidation, secured structured debt holders rank at top priority under Section 53(1)(b) alongside 24-month workmen's dues, ahead of unsecured creditors and government statutory taxes.

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Chapter 11: Rookie Mastery Examination: 15 High-Yield Test Questions & Answer Keys

To test and confirm complete mastery of Customized Structured Funding Solutions, finance rookies should complete the following 15 examination questions. Comprehensive answer keys are provided below.

Q1: How does a Customized Structured Funding Solution fundamentally differ from a standard commercial bank term loan?

Answer: Standard bank loans rely on rigid collateral ratios and equal monthly EMI servicing. Structured funding prioritizes forward cash flow predictability, using bespoke cash sweeps, PIK coupons, and escrow waterfalls to match actual business cash cycles.

Q2: What is the typical All-In Yield to Maturity (YTM) targeted by private credit funds in India for structured debt?

Answer: 13.50% to 18.50% All-In YTM, engineered through a combination of current cash coupons, PIK accruals, upfront processing fees, and exit redemption premiums.

Q3: Explain the mechanics of a Payment-In-Kind (PIK) coupon.

Answer: A PIK coupon defers current cash interest payment by compounding the interest amount into the outstanding principal balance, which is settled upon final maturity or exit, preserving operational liquidity.

Q4: What is the primary function of an Escrow Trust & Retention Account (TRA) in a structured funding deal?

Answer: To ring-fence corporate receipts and enforce a legally binding priority cash flow waterfall that automatically services debt before operational surplus is released to the borrower.

Q5: How does a Cash-Flow Sweep mechanism work?

Answer: It mandates that a specified percentage (e.g., 50% to 75%) of excess operational cash flow remaining after operational expenses and mandatory debt EMI be applied toward accelerating principal debt paydown.

Q6: What is the minimum recommended Asset Cover and Share Pledge Cover ratio for structured debt underwriting?

Answer: Minimum 1.50x Tangible Asset Cover / Minimum 2.00x Share Pledge Cover over listed/operating subsidiary shares.

Q7: Explain the dynamic margin call protocol in a promoter share pledge agreement.

Answer: If stock price volatility drops the share pledge cover below a trigger threshold (e.g., 1.75x), the promoter must deposit additional demat shares or cash within 2 to 3 business days to restore cover to 2.00x+.

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Q8: What statutory form must be filed with the Registrar of Companies (ROC) to perfect a debt charge, and within what timeframe?

Answer: Form CHG-1 must be filed within 30 days of charge creation under Section 77 of the Companies Act 2013.

Q9: Under what SEBI regulation do private credit funds issuing structured NCDs operate in India?

Answer: SEBI (Alternative Investment Funds) Regulations 2012 under the Category II AIF framework.

Q10: What is the tax pass-through section under the Income Tax Act 1961 for Category II AIFs?

Answer: Section 115UB of the Income Tax Act 1961.

Q11: How are compound financial instruments (e.g., OCDs with warrants) presented under Ind AS 32?

Answer: They require Split Accounting, separating the liability component (discounted cash flows) from the equity conversion component on the balance sheet.

Q12: What is the legal status of structured NCD holders under the Insolvency and Bankruptcy Code (IBC) 2016?

Answer: They are classified as Financial Creditors under Section 5(8) with full rights to initiate Section 7 CIRP proceedings before the NCLT.

Q13: Where do secured structured debt holders rank in the IBC Section 53 liquidation waterfall?

Answer: Section 53(1)(b)—ranking at top priority alongside 24-month workmen's dues, ahead of unsecured creditors and government statutory taxes.

Q14: What is a Call Protection lock-in period in a structured debt contract?

Answer: A mandatory period (typically 12 to 24 months) during which borrower prepayment is prohibited, guaranteeing the lender achieves its target minimum yield.

Q15: Why is interest servicing on structured debt tax-advantageous for a corporate borrower?

Answer: Interest servicing (both cash coupon and accrued PIK interest) is fully tax-deductible as a business finance expense under Section 36(1)(iii) of the Income Tax Act 1961.

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